

the pattern if price fails to close above the top of the pattern or if price makes a lower plunge.

In this example, the top of the pattern is C and an upward breakout happens when price closes above the line at D. At E, the stock forms a broadening top before continuing to move higher.

Duration. The table gives guidance for how long the diving board pattern is. I like to see a diving board patterns at least one or two months long.

Focus on Failures

[Figure 25.3](#) shows a chart busy with lines on the weekly scale. Let's discuss each one. Line A shows lots of support with price dropping to, or coming near to, the line. Price plunges on the way down to B, completing a diving board pattern. Price makes a double bottom (with not-so-equal bottoms at B and B1) and recovers. The stock rises to the bottom of the board (A) and continues higher.